

DOCUMENT 1: User 1 - Tax & Deductions Summary (Tax Year 2025–2026)

Full Name: Alex Mercer (User ID: 101)

Income Summary:

Total Gross Employment Income: \$118,450.00

Freelance Consulting Income: \$21,680.00

Investment Dividend Income: \$2,135.50

Short-Term Capital Gains: \$3,410.75

Total Gross Income: \$145,676.25

Total Tax Withheld: \$37,606.20

Net Payable Tax: \$1,842.35

Itemized Deductions:

- Home Office Equipment: \$1,450.00
- Professional Subscriptions: \$320.00
- Educational Courses: \$850.00
- Charitable Donations to Global Tech Care: \$500.00
- Business Internet Allocation: \$780.00
- Office Supplies: \$265.45
- Software Licenses: \$1,185.30
- Standard Mileage Deduction: \$420.50

Tax Strategy:

Backdoor Roth IRA Conversion strategy executed on November 12, 2025.

Tax-loss harvesting applied across cryptocurrency and stock holdings using FIFO cost basis while maintaining transaction records.

Audit Notes:

Maintain receipts supporting the \$420.50 standard mileage claim along with donation letters, IRA conversion confirmation, brokerage reports, invoices, and bank statements.